

Debt and Equity Fund (with equity generated from carbon pre-payments)

Concept Note Review

Contact and Organization Information

First name:	Surname:	Email address:	Institution name:
William	Kwende	MD@golden-organics.com	Golden Organics Global

Are you applying as a consortium of organizations?

Yes

Organization legal name

Golden Organics Global

Institution type (what describes you best):

Social enterprise

Where is the lead institution based?

Specify country:

United Arab Emirates

Application Key information

Name of proposed climate finance vehicle

Debt and Equity Fund (with equity generated from carbon pre-payments)

SDGs targeted by the solution:

- 01: No Poverty
- 02: Zero Hunger
- 03: Good Health and Well-being
- 04: Quality Education
- 05: Gender Equality
- 06: Clean Water and Sanitation
- 07: Affordable and Clean Energy
- 09: Industry, Innovation and Infrastructure
- 10: Reduced Inequality
- 12: Responsible Consumption and Production
- 13: Climate Action
- 15: Life on Land

Stage of application

6) Anchor funding secured: Concept has been proven through a pilot or proof-of-concept, and (with funding secured) operations can begin.

Vehicle type:

Company

Asset Class:

Alternative investments (e.g., private equity, private debt)

Country or countries targeted by the vehicle

Senegal

Please describe the relevant sector of the vehicle.

Materials and carbon sequestration from agroforestry

Primary region targeted by the solution:

Sub-Saharan Africa

How did you hear about this call for proposals?

Word of mouth / referral

Concept Note Detailed Questions**Brief summary:**

Our Serious Shea Project won the United Nations and World Economic Forum endorsed Trillion Trees Sahel and Great Green Wall Challenge in 2021. Serious Shea Senegal will implement not only a profitable, but also a socially and environmentally sustainable business model through blended debt, carbon and project finance for three pillars of the Serious Shea company:

- (1) A regeneration strategy;
- (2) Deforestation-free, zero-carbon agroforestry processing value chain;
- (3) Women and youth group partners.

Vehicle structure:

The founder of the Serious Shea concept, Mr William Kwende (Burkinabe), has been active in West Africa for many years, including as the Executive Chairman and CFO of Golden Organics Global, the legal entity who manages the Serious Shea blended financing vehicle. With secured financing Golden Organics is formulating the Serious Shea Senegal company, based in Dakar, to re-group the founder's activities to provide 20% shares to local communities, delivered through co-operative instruments. Phased investment of €25 million through financing partners (DFC, BADEA and Mirova) has projected revenues from carbon and clean energy agroforestry processing of €50 million in year 10.

Vehicle rationale

A golden share, 60% debt finance, secures a governance structure for community led decisions and for the roll-out of the Serious Shea business model for achieving Africa's Great Green Wall Challenge by Golden Organics Global representing the private sector. Carbon pre-payments structured at 40% provide equity for reforestation which is blended with agro processing debt finance for further community financial inclusion and as tree density per hectare in arid conditions is low for stand alone carbon financing. The Serious Shea Senegal Fund has been structured following feasibility studies and proof-of-concept first undertaken for Burkina Faso in 2018 and costing US\$ 1 million.

Description of completed activities

- Feasibility for Serious Shea SARL Burkina Faso and proof-of-concept of clean energy processing technologies with grant funding from the World Bank and the African Development Bank including: women's group, community and market stakeholder surveys and co-operative formations/land rights; site identification; technologies planning and logistics; business model; local data collection and decision making tool;
- Adaptation of Burkina Faso feasibility and site planning for reforestation and industry for Senegal including for carbon pre-payments managed by Mirova and with local partners GGW Agency and PAPSEN;

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- Due diligence for 60% debt finance;
- First nursery and plantations underway.

Description of upcoming activities

- Further baseline data and more detailed additionality analysis for carbon sequestration and wider SDGs including to purchase (if necessary) and corroborate satellite data;
- Further stakeholder preparations;
- More comprehensive Environmental Impact Assessment (EIA) & Strategic Environmental Assessment (SEA) (particularly watersheds, nutrient & heavy metal pollution/soil samples, biodiversity & corridors);
- Roll-out of individual site planning and management plans;
- Travel and communications activities for further project financing to cover 3 years grant funding and investment for Great Green Wall roll-out;
- Further support for investors due diligence as required.

Additionality

Sustainable development can only happen when it reaches individual communities at scale. Achieving the Great Green Wall Africa ambitions is complex and multifaceted requiring a Fund which bridges the gaps - between local and international markets and their value chains; for clean energy processing technology, IoT and training; for private investors including the carbon funds; for the development banks; and for other initiatives. The critical aspect of the Serious Shea blended vehicle is to take responsibility from the private sector for international investment and for economic and SDG value and impact outcomes which are delivered to communities through co-operative instruments.

Catalytic potential

At least € 25M is mobilized to mitigate and adapt to climate change:

- Planting and protecting 0.9M ha native forest with 35 M diverse native trees and 0.1M ha agroforestry (SDG 15.1.1; 15.3.1, 2.4.1)
- Sequestering 4.2 M tCO₂e by 2033 from plantations (cumulative) and 10,000 tCO₂e p.a. by 2030 by substituting CO₂e from 26 eco-processing units, replacing firewood fuel or diesel generators with clean energy. (SDG 13.2.2; 13.a.1; 9.41)
- 100% clean energy (solar and biogas) powers 31 facilities (5 nurseries & 26 agro-food processing units) linked to 14,250 jobs (Serious Shea employees and co-operative workers) and powers households for 135,000 people by 2030. (SDG 7.11; 7.12; 7.31; 7a1)

Financial sustainability

Letters of intent can be provided for first phase financing from the Mirova Sustainable Investment Fund (Carbon Pre-payments), the US DFC and BADEA (Debt Financing). This first phase financing is conditional to further project work in Year 1 of Business Plan implementation, most importantly: individual site plans; soil samples and more detailed watershed analysis; and community stakeholder surveys and preparations which should only be undertaken with secured financing to manage expectations. The Serious Shea Corporate Alliance launched in 2022 is already generating sponsorship (e.g IB-Zammit GmbH, AeroItalia), is preparing the first nursery and the first plantations are underway.

Gender equality

At Serious Shea heart, women and youth receive a 20% profit-share through cooperative instruments:

- 13,500 co-operative workers, at least 50% women will have equal payment and land rights secured. (SDG 5a1,10.1.1)
- Individual income is at least doubled to the minimum financial flows estimated to achieve Universal Health Care; primary and secondary education for all, clean drinking water and sanitation (est. US\$1100- US\$1340 /household p.a.). (SDG 3.8.1;4.1.1; 6a1; 6.2.1)

Using the multi-function processing clusters women will have year round employment from a variety of seasonal ingredients and also receive health benefits from not collecting firewood, water or being exposed to smoke.

Mobilization

The Serious Shea concept already has a significant profile including as 'Top Innovator' for Uplink - World Economic Forum. Founder William Kwende has presented and lobbied for blended finance in fora and events which include the Financial Services Club, WEF Investors Forum, Davos and most recently this month as the representative of the Private Sector for the Great Green Wall Africa in the European Parliament. There are already significant opportunities for additional private capital providing momentum to generate and attend events is maintained, for associated communications and marketing and for the investor specific technical work.

Stakeholders

Name of the stakeholder	Role in the vehicle	Level of engagement completed	Location
Golden Organics Global	Blended Fund Manager	Serious Shea Founding Entity leading the development of the vehicle since 2016	Dubai, UAE
GGW Senegal Agency	Site Allocation Agent	Local partner since 2022	Dakar, Senegal
PAPSEN	Site Allocation Agent	Local partner since 2022	Dakar, Senegal
DFC	Debt Vehicle	Partnership development since 2021	Washington DC, US
Mirova Sustainable Investment Fund	Carbon Financing Vehicle	Partnership development since 2022	Paris, France
BADEA	Debt Vehicle	Partnership development since 2022	Khartoum, Sudan
Ministry of the Environment	Site Allocation Agent	Local partner since 2022	Dakar, Senegal
Clarity Coalition	Multi-disciplinary global expertise, advisers & communications support	Coalition members support since 2014	Secretariat based in Buenos Aires, Argentina

Team Members

Name of the member	Area of expertise or designations	Years of relevant experience	Gender	Please describe their level of participation to date, and anticipated role	Location
Mr William Kwende	Executive Chairman; CFO Golden Organics, Agri-entrepreneur, Financial Manager	25	Male	Co-author of Serious Shea Concept; Board Chairman Serious Shea; Fund Manager	UAE

Dr Sarah Jones	Secretary General, Clarity Coalition; Acting CSO Golden Organics, Sustainable Finance and Investment specialist	25	Female	Supporting the work of William Kwende since 2014, co-author Serious Shea Concept since 2018; Serious Shea Board and acting executive role for SDG impact and concept roll-out.	Argentina
Mr Sencer Karasu	COO Golden Organics; Project Management and Marketing specialist	10	Male	Serious Shea Senegal Feasibility Project Manager since 2022; Serious Shea Executive Director	Turkey
Ms Fatou Mboup	Leader Women and Youth Group's Cooperatives, Serious Shea Senegal, Communications and Marketing specialist	20	Female	Advisor since 2022; Lead for Community Fund (20% Serious Shea Shares)	Senegal
Ms Habida Molone	Singer, Songwriter, Communicator	10	Female	Joint presentation at the European Parliament in 2023. Advocate for Women empowerment using the Serious Shea model, Serious Shea Advisory Board	Kenya
Mr Simon Jones	Partner, Fund Manager, Cognis Capital	25	Male	Advisor to Serious Shea since 2019, Serious Shea Advisory Board	UK

Sharing your application:

Yes, please share my proposal with interested donors

Compliance:

Agree

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